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CIRCULAR TO ALL BANKS AND OTHER FINANCIAL INSTITUTIONS

THE REVISED GUIDELINES FOR BLACKLISTING FOR BANKS AND OTHER FINANCIAL INSTITUTIONS IN NIGERIA- EXPOSURE DRAFT

Pursuant to its powers as enshrined in Section 47 of the Banks and Other Financial Institutions Act 2020 (BOFIA), the Central Bank of Nigeria (CBN) hereby issues the revised draft Guidelines for Blacklisting for Banks and Other Financial Institutions in Nigeria for stakeholder comments/inputs.

The revised draft Guidelines can be accessed at the Bank's website, **www.cbn.gov.ng**

All comments and inputs should be addressed to the Banking Supervision Department, CBN Abuja, and soft copies sent via email to CAOKWULEHIE@cbn.gov.ng, SADEGOKE@cbn.gov.ng, and MYSHEHU2@cbn.gov.ng before August 9, 2023.

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GUIDELINES FOR BLACKLISTING FOR BANKS AND OTHER FINANCIAL INSTITUTIONS IN NIGERIA

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1.0 INTRODUCTION

In exercise of the powers conferred on the Central Bank of Nigeria (CBN), under the Central Bank of Nigeria Act, 2007 (CBN Act), and the Banks and Other Financial Institutions Act (BOFIA) 2020, the CBN hereby issues the Revised Guidelines for Blacklisting for Banks and Other Financial Institutions (OFIs) in Nigeria.

The Guidelines were reviewed to reflect changes in the business environment of the Nigerian Banking Industry, in line with legal and regulatory requirements, and to provide a guide to blacklisting individuals in Banks and OFIs pursuant to the provisions of Section 47 of BOFIA 2020.

The scope of offences in the Guidelines is redefined to ensure consistency in reporting qualifying offences. It also introduces a second level review of the process for blacklisting to ensure transparency, accountability and fair hearing. Financial Institutions (FIs) are required to develop clear policies and procedures for blacklisting, in line with the provisions of the Guidelines. Returns on individuals dismissed or terminated for miscellaneous offences shall be rendered separately in compliance with Section 47(8) of BOFIA 2020.

This Guideline supersedes the "Review of Operational Guidelines for Blacklisting" dated June 28, 2016.

BANKING SUPERVISION DEPARTMENT
JUNE 2023

2.0 ACCOUNTABILITY AND RESPONSIBILITY

The Managing Director (MD/CEO) and the Executive Compliance Officer (ECO) of FIs shall:

i. Monitor compliance with the requirement of these guidelines and shall be held responsible for any breach.
ii. Ensure rendition of monthly returns on blacklisted individual to the CBN in the required format.
iii. Attest that due process was followed before arriving at the decision to blacklist.

3.0 BLACK BOOK FOR THE NIGERIA BANKING INDUSTRY

A database of blacklisted individuals (Black Book) for the banking industry shall be maintained by the CBN. Any individual whose name is listed in the Black Book is barred from holding any employment within the banking system in Nigeria in line with section 47 of BOFIA, 2020.

4.0 OBJECTIVE OF THE BLACKBOOK

The objectives of the black book are to:

i. Prevent discredited and fraudulent individuals from being recycled within the financial system.
ii. Ensure that only individuals with credible references are employed within the financial system.
iii. Serve as deterrent from committing frauds/dishonest acts.
iv. Hold accountable, individuals that fail to meet the expected standards of integrity and professionalism required of bankers.
v. Ensure operational compliance by banks and other financial institutions with Section 47 of BOFIA 2020.

5.0 SCOPE

The Guidelines prescribes the procedure for blacklisting for the Nigeria Banking Industry and shall apply to banks and other financial institutions as provided in BOFIA, 2020. Furthermore, all employees (core and contract) of FI shall go through the procedure for blacklisting as outlined in this Guideline.

6.0 INTERNAL POLICY ON BLACKLISTING

FIs are required to develop clear policies and procedures for blacklisting, in line with the provisions of these Guidelines. These policies are subject to the approval of the CBN and shall be communicated clearly to all employees of the FI.

7.0 INDEPENDENT REVIEW PANEL

For the purpose of these Guidelines, there shall be an Independent Review Panel (IRP) that would conduct a second level review and validation of the decisions of the FIs. This Panel shall be under the purview of the Ethics and Professionalism Sub-committee of the Bankers' Committee.

8.0 CONDITIONS FOR BLACKLISTING

FIs shall blacklist any individual who has been indicted by an administrative or investigative panel, sanctioned by any domestic/international body or convicted by a court of competent jurisdiction to have committed any of the under listed offences:

i. Fraud;
ii. Forgery;
iii. Insider abuse;
iv. Conflict of interest;
v. Breach of Fiduciary Duty;

vi. Violation of relevant sections of extant Banking regulations and laws;
vii. Breach of confidentiality and misuse of information;
viii. Relevant offences as prescribed in the AML/CFT/CPF laws and regulations in Nigeria;
ix. Misrepresentation of Facts;
x. Criminal breach of Trust offenses;
xi. Misconduct that affects the stability of the financial system; and
xii. Any other offence as may be prescribed by CBN from time to time.

Blacklisting decisions must be based on objective criteria other than, miscellaneous offences, personal bias or prejudice. FIs shall ensure that their blacklisting practices do not discriminate against any particular individual. FIs should take into cognizance the following;

i. The intent and level of involvement of the individual member.
ii. The level of harm caused to the bank or its customers.
iii. Concrete/established evidence.

9.0 THE PROCEDURES FOR BLACKLISTING

9.1 Blacklisting by FIs

In order to ensure fairness and accountability, FIs shall adhere to the following procedure before the decision to blacklist an individual:

i. Where an alleged offence as outlined in these guidelines is discovered/reported/made against an individual, an investigation shall be conducted to determine whether the allegations are true.
ii. Upon verification of the existence of grounds for blacklisting, the financial institution shall notify the affected individual in writing of the allegations timeously and he/she shall be required to respond to the allegations within 14 days from the receipt of the notification.

iii. Upon receipt of the individual's response, a disciplinary committee shall be setup to review the matter.
iv. The individual shall be invited by the disciplinary committee to present evidence that may aid in his/her defense. This invitation shall be received within 14 days prior to the sitting of the committee.
v. Where an individual fails to appear before the disciplinary committee after invitation, the committee shall proceed with the process.
vi. Based on the evidence presented during the hearing, the disciplinary committee shall make a decision regarding the individual.
vii. If the individual is indicted, the case shall be referred to an IRP for further review and validation.
viii. Where there is a conflict between the decisions of the internal committee and IRP, the decision of the IRP shall prevail.
ix. The decision(s) of the disciplinary committee(s) shall be communicated to the individual involved.

9.2 Blacklisting by the CBN

Notwithstanding the above, the CBN shall blacklist any director, manager or officer of a FI for offences committed in line with section 49 of BOFIA 2020.

10.0 REPORTING REQUIREMENTS TO THE CBN

FIs shall report individuals indicted for any of the offences listed in Section 8.0 of this Guideline to the CBN.

10.1 Reporting Procedures

Financial institutions shall forward monthly returns on blacklisted individual to the CBN on or before the 5th day of every month. The returns shall be accompanied by:

i. A declaration that due process was followed before arriving at the decision, signed by the Managing Director and Executive Compliance Officer.
ii. The Disciplinary committee and IRP reports.
iii. Evidence of notification of allegation and invitation of the individual to the DC.
iv. Evidence of communication of the decision of the Disciplinary committee to the individual.

Where there are no blacklisted individual(s) for the reporting period, the FI shall render a nil return.

10.2 Returns on Miscellaneous Offences

Returns on termination and dismissal for miscellaneous offences shall be rendered in line with section 47(8) of BOFIA 2020. Miscellaneous offences refers to offences that don't fall into the scope of offences as prescribed in Section 8.0 of these Guidelines and occur within the context of banking operations.

10.3 Format of the Return

The return shall be in excel format and at a minimum, contain the following information:

i. The names of the person(s) involved (which should be written in full without any abbreviation);
ii. Date of birth;
iii. State of Origin;
iv. Local Government of Origin;
v. Gender;
vi. Bank Verification Number (BVN);
vii. Email;
viii. Phone Number;
ix. Designation/Status

x. Type of engagement (core or contract);
xi. Date engaged;
xii. Date disengaged;
xiii. Date blacklisted;
xiv. Reason(s) for blacklisting;
xv. National Identity Number (NIN); and
xvi. Nationality and Passport Number (for foreigners);

10.4 Review by the CBN

Upon receipt of the returns, the CBN shall:

i. Establish that the offence committed is a qualifying offence for blacklisting.
ii. Review the documents and establish that due process was followed.
iii. The Director of Banking Supervision upon confirmation shall subsequently approve the person(s) to be included in the Black book register.

11.0 DELISTING FROM THE BLACK BOOK

A blacklisted person shall be delisted by the CBN upon:

i. Receipt of a valid Court Order,
ii. Request for reconsideration from the financial institution to delist and CBN's approval of the application, or
iii. Request for reconsideration from an individual, blacklisted by the CBN in line with Section 9.2 of these Guidelines.

12.0 APPLICATION FOR RECONSIDERATION

An application for reconsideration may be made to the CBN where there is new evidence or facts that may alter the decision already made.

12.1 For individuals blacklisted by FIs

i. Following an application for reconsideration, the Disciplinary Committee of the affected institution may review the case and the outcome shall be referred to the IRP for validation.

ii. After the review, if it is established that the individual was not found culpable, the FI would initiate the delisting process by writing to the CBN to delist such a person from its Black book.

iii. The FI shall forward the full report of the investigation to the CBN for review after initiating the delisting process.

iv. After delisting, the CBN would then communicate its action to the financial institution.

12.2 For individuals blacklisted by the CBN

i. Following an application for reconsideration, the CBN may review the case.

ii. After the review, if it is established that the individual was not found culpable, the CBN shall delist the individual from the Black book.

iii. After the delisting has taken place, the CBN would then communicate its action to the individual.

13.0 DATA PROTECTION AND PRIVACY

The users of these Guidelines shall take reasonable security and control measures in order to avoid unauthorized access or improper use or mismanagement of information in its database by its staff, contractors, technology partners and Users.

The CBN and FIs shall comply with the provisions of the Nigerian Data Protection Regulation (NDPR), 2019.

14.0 SANCTIONS

In line with the relevant Sections of BOFIA, 2020, FIs shall be sanctioned for;

I. failure to comply with any provisions of this Guideline.

II. engaging in the practice of asking the indicted individual to resign.

III. any other act that could lead to avoidance of blacklisting

15.0 COMMENCEMENT OF THE GUIDELINE

These revised Guidelines or any amendments made thereto shall take immediate effect.

GLOSSARY

1. **AML/CFT/CPF**: acronym for Anti-Money Laundering, Combating the Financing of Terrorism & Countering Proliferation Financing.

2. **Breach of confidentiality and misuse of information:** Unauthorized disclosure/ misuse of information of the customer and FI or any action that compromises the privacy and security of such information.

3. **Breach of Fiduciary Duty:** Any action that breaches the legal and ethical obligation owed by employees of FIs to its customers and employers, including conflicts of interest, self-dealing, or unauthorized use of assets.

4. **Conflict of interest:** An activity or behavior that create, or have the potential to create, conflicts between an individual interests and the best interests of a FI or its customers.

5. **Criminal breach of Trust offenses:** refers to misuse or misappropriation of property or assets entrusted to someone's care, custody, or control, such as cheating, dishonesty, conversion and embezzlement.

6. **Financial Institutions:** Financial institutions are entities that provide a wide range of financial services to individuals, businesses, and governments. They consist of Banks and Other Financial Institutions (OFIs) as prescribed in Section 57(1) (2) of BOFIA, 2020.

7. **Forgery**: This refers to the act of creating, altering, or using false documents or information with the intent to deceive or mislead others.

8. **Fraud:** For the purpose of this guideline, fraud refers to the intentional act of deception or dishonesty for personal or financial gain, with the intention to mislead or harm others.

9. **Insider abuse**: refers to the misuse of privileged access and knowledge by individuals within a FI for personal gain or to cause harm.

10. **Misrepresentation of Facts**: refers to the act of presenting information or statements that are untrue, misleading, or inaccurate with the intention to deceive or manipulate others.

11. **Violation of extant Banking regulations and laws:** Non-compliance with relevant banking regulations and laws.